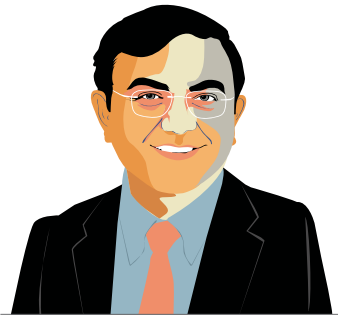


Is this India's Decade and Century?

We need to use technology to improve our health and education outcomes and upgrade the existing labour stock through a massive skilling effort



44 |

BY JANMEJAYA SINHA
CHAIRMAN, BCG INDIA

AT THE TURN of the century, China's reforms had taken root, and its GDP had grown to \$1.2 trillion. India's reforms started later and so from a similar level as China in 1980 it had grown to \$485 billion in 2000.

The first decade of the 21st century saw China take-off. It grew from \$1.2 trillion to \$6.7 trillion or from 3% to more than 10% of global GDP in 10 years.

The US, which had brought China into the World Trade Organization and encouraged its firms to shift manufacturing to China, only started to get wary of China by 2015, by when it was clearly the World number 2. China was a key market for German cars, Italian engineering and French Luxury. US President Donald Trump ran on containing China in 2016 and won. Post-Covid, the US' new cold war was with China. Since then, the Chinese economy due to a combination of reasons—American tariffs, President Xi Jinping's sharp attack on business, slowing population growth and increasing wages—has lost its sheen. But China remains very important, contributing over 33% of global manufacturing, 18% of global GDP and 13% of global consumption. It is also an innovation and technological powerhouse, with a strong army.

What about India? Even though

India's GDP growth rate has averaged 6.5% for three decades, in 2020 it was less than 2 % of global GDP. Post-Covid, India's position has improved despite a volatile global geopolitical situation. Its economy today is \$3.7 trillion, and all estimates expect it to cross \$7 trillion by 2030, making it the third largest economy with around 6% of global GDP. This decade will see it add \$5 trillion to global GDP.

Effective government policy has helped. Consequential reforms have been enacted—the Goods and Service Tax, Insolvency and Bankruptcy Code, privatisation and asset monetisation and a major push towards creating a technology stack that is arguably the best in the world with an identity layer (Aadhaar), payments layer (UPI), data layer (DigiLocker) and applications layer (CoWIN, ONDC, account aggregators, etc). Combined with pushing every household to have a bank account and ubiquitous mobile phones, Indian connectivity and data usage is the highest in the world.

There has been a sharp infrastructure build out with 75 new airports, a doubling of port capacity, an addition of 15,000 km of roads, doubling rail capacity, a buildup of millions of housing units, increased power capacity, with an emphasis on renewable energy and now nuclear energy, has galvanised